

The StraightLine Insight Note — September 2026

This month's Insight Note draws from four StraightLine proof pieces around stock reporting – when the system and operations versions of available stock differ.

July looked at the point where apparently sound financial and operational figures can still mean different things depending on definition, timing and purpose.

August moved the question one step further:

What happens when the headline looks reasonable, but the detail underneath is trying to tell you something else?

September moved the question again.

This time, the focus was less on what sits underneath the headline and more on what happens when the formal system, the reporting logic and the lived operational reality do not fully agree.

That is where manual checks, parallel spreadsheets, reconciliations and stock differences become useful clues.

The issue is not always that the system is wrong.

Often, the more useful question is:

Where did the two versions of reality begin to diverge?

Not necessarily because either side is wrong.

Sometimes the difference sits in timing.

Sometimes in definitions.

Sometimes in the way transactions are recorded.

And sometimes the most useful clue is the manual check, spreadsheet or reconciliation somebody has quietly added to make the formal reporting usable.

That was the thread running through this month's posts and the September inventory work.

What I noticed this month

A lack of trust in a report does not always begin with an obvious error.

Often, it begins with a small extra step.

Someone exports the report to Excel before using it.

Someone checks a few transactions manually.

The warehouse compares system stock with what it can physically see.

Finance and Operations reconcile two figures that everyone expected to agree.

None of those behaviours automatically proves that the system or report is wrong.

But they are useful evidence.

They tell us there is a point where the formal information stops being enough for the decision.

That point is worth understanding before we automate, redesign or replace anything.

The operational problem underneath

September's stock work brought that into focus.

A stock difference can look straightforward:

The system says we have one quantity.

The physical count says we have another.

It is tempting to treat that simply as a data-quality problem.

But the difference may have several causes.

A receipt may have happened physically but not yet been posted.

A stock movement may have been entered late.

A count may have taken place while transactions were still moving through the process.

A unit of measure may have been interpreted differently.

A return, adjustment or transfer may be sitting somewhere unexpected.

Or there may be a genuine unexplained variance.

The September inventory analysis compared recorded and physical stock, separated positive and negative variances, and distinguished expected timing differences from items that warranted further investigation. It also led to practical questions around stock-count timing, posting controls and exception review.

That distinction matters.

If every difference is treated as an error, people spend time investigating normal timing effects.

If every difference is dismissed as timing, genuine control problems can remain hidden.

The useful reporting question is therefore not simply:

“Does the stock match?”

It is:

“Which differences can we explain, and which ones need attention?”

That is a much more useful management view.

The pattern behind the month

The same principle appeared in several forms during the month.

A manual check is evidence

If someone checks a report manually every week before trusting it, the check itself deserves attention.

It may be inefficient.

But it may also be compensating for an exception, definition or timing issue that the formal report does not make clear.

Before removing the workaround, understand the job it is doing.

The spreadsheet beside the ERP may be telling you something

A spreadsheet running alongside an ERP system is easy to label as duplication.

Sometimes it is.

But sometimes it contains the classification, exception, timing adjustment or context someone needs before they can act confidently.

The spreadsheet may not be the root problem.

It may be the clearest clue to where the process and the system stopped fitting together.

Finance and Operations can both be right

Two teams can produce different figures without either side being careless.

Finance may be measuring what has been recognised or valued.

Operations may be measuring what physically happened.

Planning may be looking at committed stock.

The warehouse may be looking at what is physically available.

The problem starts when everyone assumes those figures mean the same thing.

Reconciliation is often as much about definitions and timing as arithmetic.

More reporting does not automatically create more visibility

Adding pages, charts and KPIs does not necessarily make the important issue easier to see.

Useful reporting should help someone answer:

- What changed?
- Does it matter?
- What needs investigating?
- Who needs to act?

If the reader still has to search through the detail before finding the exception that matters, the report may be accurate without yet being decision-ready.

Automation does not create agreement

Automation can remove repeated effort and improve consistency.

But it works best once the underlying logic is understood.

If people already disagree about the definition, source or timing of a number, automating the report does not resolve that disagreement.

It simply makes the disputed number arrive faster.

The right order is usually:

understand → agree → control → automate

rather than automating first and investigating confidence later.

One practical check

Choose one report your business relies on regularly.

It could be stock, sales, orders, finance, purchasing, production or delivery performance.

Then ask:

What does somebody do immediately after receiving it?

Do they:

- export it to Excel?
- check several transactions?
- compare it with another report?
- ask another department for its figure?
- keep a separate list of exceptions?
- rely on experience to decide which items really matter?

Then ask one more question:

What are they looking for?

That second question is important.

The extra work may point directly to the definition, exception or process gap that needs attention.

The aim is not necessarily to eliminate every manual check.

It is to understand why the check became necessary.

From the StraightLine Library

September's inventory and stock-variance work examined the gap between recorded stock and physical reality.

The useful part was not simply identifying that variances existed.

It was separating different kinds of variance and asking what should happen next.

Some differences may be explainable through timing or known process behaviour.

Others need evidence and further investigation.

That leads naturally to practical controls:

- clearer count timing;
- better posting discipline;
- visible exceptions;
- evidence behind adjustments;
- focused investigation rather than blanket reconciliation.

The case study was built around the relationship between stock-count differences, variance value and system stock value, with recommendations around count timing, posting controls and exception review.

The wider lesson reaches beyond stock.

Reporting confidence improves when the business can distinguish:

**what is expected,
what is explainable,
and what genuinely needs attention.**

Use independent verification where the value, risk or history of the item justifies it.

Use standardised count sheets with SKUs, location and Unit of Measure clearly shown, but consider hiding the expected quantity during the physical count.

SKU	Physical Count Difference	Unposted Issues	Exception Value	Stock Value	Impact (%) of Exception	ExceptionType
E500	-10	10	-96.00	720.00	13.33%	Production issue not posted
B220	-12	12	-154.80	1,225.50	12.63%	Production issue not posted
A130	-8	8	-195.20	1,561.60	12.50%	Production issue not posted
E540	-7	0	-55.30	987.50	5.60%	Physical count shortage
B210	-6	0	-42.60	781.00	5.45%	Physical count shortage
D400	2	0	0.84	18.90	4.44%	Physical count surplus
C330	-5	5	-184.50	4,797.00	3.85%	Production issue not posted

The analysis found the differences. The next piece of work is to reduce the number of opportunities for those differences to arise in the first place.

Good stock reporting does not begin with the dashboard. It begins with a process that gives the dashboard something reliable to report.

What SMEs can do next

The first step does not need to be a new system or a dashboard rebuild.

Pick one important report that still creates uncertainty.

Look at:

- what decision it is meant to support;
- how its key measures are defined;
- where the information comes from;
- when transactions enter the system;
- which exceptions are hidden inside the total;
- which manual checks happen afterwards;
- where different departments use different interpretations.

Then narrow the investigation.

You may find that the real next step is quite small:

- clarify one definition;
- change when a count takes place;
- make one exception visible;
- document one posting rule;
- separate timing differences from unexplained variances;
- stop treating two different measures as though they should match.

Good analysis does not always create a bigger project.

Often it makes the problem smaller.

Question for the month

Where does your system say one thing while the people doing the work see something else?

And when that happens:

How do you currently work out which difference matters?

The StraightLine view

Systems need rules.

Operations need judgement.

Reports sit somewhere between the two.

When all three agree, the number feels straightforward.

When they do not, the answer is rarely to assume that either the system or the people are simply wrong.

The useful work is finding where the difference begins.

That might be a definition.

A transaction.

A timing issue.

A workaround.

Or a perfectly reasonable rule that no longer reflects how the business actually operates.

A trustworthy report does not need to remove every disagreement.

It needs to make the important ones visible enough to investigate.

Because automation can make information faster.

Clarity is what makes it useful.

How StraightLine Data & Training can help

StraightLine helps SMEs understand where ERP, finance and operational reporting stops matching the reality people are working with.

That might mean:

- reviewing a report people still check manually;
- comparing reported figures with underlying transactions;
- investigating stock and inventory variances;
- clarifying definitions used by Finance and Operations;
- identifying where timing creates apparent discrepancies;
- reviewing spreadsheets and manual workarounds;
- making exceptions easier to see;
- improving reporting controls before automating them.

The starting point can be very small:

one report, one disagreement and one question people still cannot answer confidently.

Sometimes that is enough to show where the real problem begins.